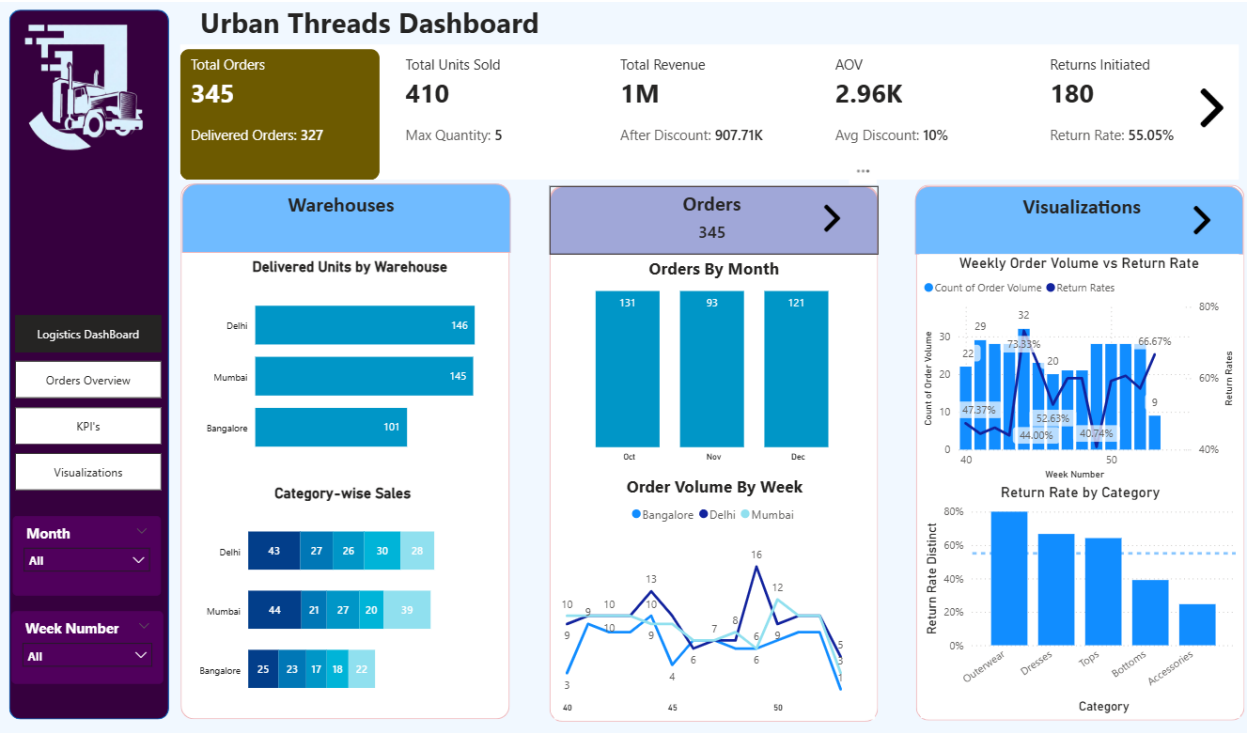
Power BI Dashboards



Urban Threads KPI'S

GMV	Net Revenue	Return Rates	RTO Rate
1M	907.71K	55.05%	5.20%

Refund Processing Rate	First Time Buyer Return Rate	Repeat Buyer Return Rate
50.14%	58.33%	44.00%

Logistics DashBoard

Orders Overview

KPI's

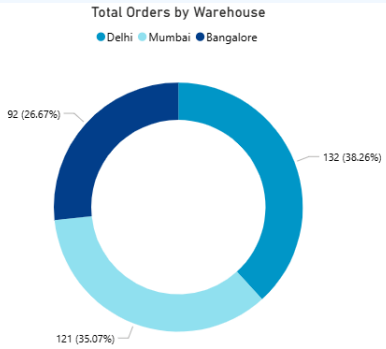
Visualizations

Month

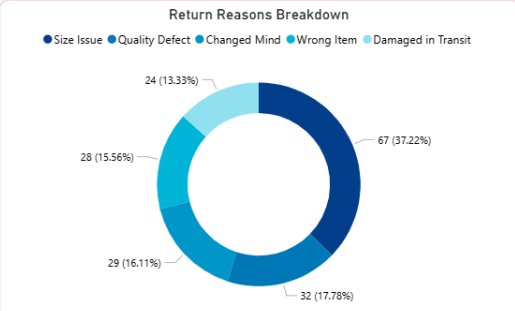
All

Week Number

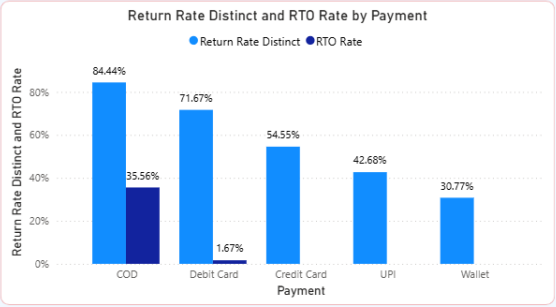
All



Important Visualizations



Type	Instagram Shop	Mobile App	Website	Total
New	74.12%	56.79%	44.19%	**58.33%**
Returning	40.00%	55.56%	35.71%	**44.00%**
Total	**67.62%**	**56.48%**	**42.11%**	**55.05%**



Logistics DashBoard

Orders Overview

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Business Interpretations

Q.1 If the overall return rate is 19%, but returning customers have a 10% return rate while new customers have 28%, what does this tell you?

-> Interpretation:

- **Returning customers (10%)** → Lower return rate because they are already familiar with the brand, sizing, and product quality.
- **New customers (28%)** → Higher return rate because they may be unsure about size, product expectations, or purchase more impulsively.

Business Insight:

Returning customers are more reliable and have better purchase decisions, while new customers drive growth but also contribute significantly to returns.

Possible Actions:

- Improve product descriptions and size guides for new customers.
- Provide better onboarding or recommendations.

Q.2 If 45% of returns cite "Size Issue," what operational changes might help?

-> This suggests that **sizing information is not clear or accurate for customers**.

Operational Improvements:

- Add detailed size guides for each product.
- Allow customers to share **fit feedback**.
- AI-based **size recommendation systems**.
- Show models with **height and size worn**.

Insight Statement:

Since nearly half of returns are due to size issues, improving size guidance and product fit information could significantly reduce return rates.

<u>Q.3</u> If Instagram Shop has the highest return rate, should we shut it down? What else would you want to know before recommending that?

-> Although Instagram Shop has the highest return rate, it should not be shut down without further analysis. As it is giving us highest number of orders, revenue contribution we must try to solve reasons of high return rates.

<u>Q.4</u> Whether promotional periods led to quality issues?

-> Order volume increased slightly in Week 44, and return rates also rose significantly, suggesting that promotional or high-demand periods may lead to higher product returns.

<u>Q.5</u> Which categories are problematic in terms of Return rates?

-> Outerwear categories are more problematic in terms of size issue.

<u>Q.6</u> What % of returns are within our control (Quality Defect, Wrong Item) vs. customer preference (Changed Mind)?

-> <u>Within our control</u> – Issues the company can prevent:

- Quality defect → 17%
- Wrong item → 15%
- Damaged in transit → 13%

Total within control = 17 + 15 + 13 = **45%**

Customer preference / outside our control – Reasons driven by the customer:

- Changed mind → 16%
- Size issue → 37%

Total customer preference = 16 + 37 = **53%**

"About 45% of returns are within our control (quality defect, wrong item, damaged in transit), while 53% are driven by customer preference (size issues, changed mind). Focus on improving operational processes and quality checks to reduce controllable returns."

Q.7 Identify if certain combinations (e.g., New + Instagram) are high-risk

-> New customers purchasing through Instagram show the highest return rate, suggesting that this channel may attract more impulsive purchases or customers less familiar with product sizing.

Q.8 Quantify the financial risk of COD orders , Should we reduce COD availability for certain segments?

-> COD orders show significantly higher return and RTO rates compared to prepaid orders, indicating greater operational and financial risk for the business.

Business Recommendation

If COD risk is high:

- Restrict COD for **high-return customers**
- Allow COD only for **returning customers**
- Introduce **partial prepaid payment**

Problem Solving / Business Case

Recommendation to Reduce Return Rate from 19% to Below 15%.

The company's return rate has increased from **12% to 19%**, costing approximately **₹18–22 lakhs per month** in reverse logistics, restocking, and refunds. Based on the data analysis, the following insights and actions are recommended to reduce returns while maintaining sales.

Part A: Root Cause Hypothesis

1. High Returns from New Customers

New customers have a **28% return rate**, significantly higher than returning customers (**10%**).

2. Size Issues as the Main Return Reason

Approximately **45% of returns are due to size issues**.

3. Riskier Order Channels and Payment Methods

Orders placed through **Instagram Shop and COD payments** show relatively higher return and RTO rates, likely due to impulse purchases and lower purchase commitment.

Part B: Recommended Actions

1. Improve Size Guidance

Enhance product pages with better **size charts, fit indicators, and customer reviews**.

- Target: Apparel categories and new customers
- Expected impact: Reduce size-related returns and lower total return rate by **2–3%**

- Risk: Minor implementation cost

2. Optimize COD Availability

Limit COD for **high-risk segments (new customers or high-return channels)** and promote prepaid payments through incentives.

- Expected impact: Reduce RTO and return rates by **1–2%**
- Risk: Slight reduction in conversion for COD-dependent users

3. Strengthen Quality and Fulfillment Checks

Improve warehouse quality control to reduce **defective products or wrong item shipments**.

- Expected impact: Reduce operational returns by **1–2%**
- Risk: Slight increase in processing time

Part C: What I'd Want to Test

Run an **A/B test on improved size guidance** on product pages.
One group sees the current page, while the other sees enhanced size recommendations and fit feedback. This test would help measure whether better sizing information reduces return rates.

Part D: Assumptions & Limitations

This analysis assumes that **return reasons are accurately recorded** and focuses primarily on return rates rather than detailed cost breakdowns. The dataset also lacks information on **customer demographics, regional logistics performance, and product margins**, which could provide deeper insights.

Open-Ended Questions

1. A colleague suggests we should just disable returns for all orders under ₹999 to reduce costs. What's your reaction?

Disabling returns for lower-value orders could reduce logistics costs, but it may negatively impact **customer trust and**
conversion rates, especially for new customers. Returns are often part of the expected online shopping experience, and
removing them might reduce sales more than it saves in costs. A better approach would be to **reduce avoidable returns (e.g., size issues or COD risk)** rather than eliminating the return policy.

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2. The marketing team wants to run another 40% off sale next month. Based on your analysis, what conditions or guardrails would you recommend?

Heavy discounting can increase **impulse purchases**, which may lead to higher return rates. I would recommend limiting the sale to **selected categories with historically lower return rates**, ensuring **accurate product descriptions and sizing guidance**, and encouraging **prepaid payments instead of COD** during the promotion.

3. If we offered free alterations for size-related returns instead of full refunds, how would you estimate whether this is cost- effective?

I would compare the **average cost of alterations and reshipping**
with the current **cost of reverse logistics, restocking, and**
refund processing. If the alteration cost per order is significantly lower than the current return handling cost, the program could reduce overall expenses. A **pilot program in one category** would help measure customer adoption and financial impact before scaling it.